

POWER MECH PROJECTS LIMITED

NSE: POWERMECH | BSE: 539302

India's largest integrated power plant EPC + O&M; company, backed by a Rs. 55,000 Cr backlog and a transformational MDO ramp that could 3x PAT by FY28

RATING	12M TARGET	CMP	UPSIDE
BUY	Rs. 3,400	Rs. 2,840	19.7%

	Rs. 8,979 Cr		Rs. 6,062 Cr
52-Wk High / Low	Rs. 3,415 / Rs. 1,718	FY26 PAT	Rs. 412 Cr
	12.2x		21.8% / 15.6%
P/E (FY26)	24.7x	Order Book	Rs. 55,151 Cr
	15.8x		58.4% / 0%
P/B	3.56x	Debt / Equity	0.26x

Sector: Industrials — EPC / O&M; / MDO

Sub-sector: Power Infrastructure Services

Report Date: 20 June 2026

Investment Horizon: 12–18 months

Exchange: NSE/BSE

Face Value: Rs. 10

Disclaimer: This report is for informational purposes only and does not constitute investment advice. Data sourced from Screener.in (consolidated) as of 20 June 2026.

SECTION 2 — INVESTMENT THESIS

- **Reason 1 — Rs. 55,000 Cr order book: 9x revenue visibility:** POWERMECH's **total order backlog of Rs. 55,151 Cr** (as of March 2026) — including Rs. 39,677 Cr in long-duration MDO contracts — provides unmatched revenue visibility for 8-10 years and de-risks near-term execution risk entirely.
- **Reason 2 — MDO step-change: a new profitability engine coming online:** **Mining Development & Operations (MDO) contracts from Coal India** (Rs. 9,294 Cr, 25yr) **and SAIL/Tasra** (Rs. 30,383 Cr, 28yr) are ramping — **revenue scaling from Rs. 250 Cr in FY26 to an estimated Rs. 2,000 Cr by FY28 at 16-25% EBITDA margins** vs. core margins of 11-12%, creating significant PAT kicker.
- **Reason 3 — Undervalued relative to growth: MDO not in the price:** At 15.8x forward P/E and 12.2x EV/EBITDA, the **market is pricing POWERMECH as a pure EPC contractor**. The **MDO ramp is not yet reflected in consensus**, creating a re-rating catalyst as revenue contribution becomes visible in FY27-FY28 results.
- **Near-term catalyst (6-12 months):** MDO volume ramp at both mines entering visible run-rate by Q2 FY27, and management's guided 21% FY27 revenue growth crystallising in quarterly results — expected to trigger analyst upgrades and P/E re-rating.
- **Biggest structural risk:** Concentrated customer exposure (NTPC, state DISCOMs, SAIL/Coal India) means payment delays or policy shifts in the power/mining sector could compress FCF and working capital cycles materially.

SECTION 3 — BUSINESS OVERVIEW

- **Core business model:** Power Mech Projects (est. 1999) is India's **largest integrated power infrastructure services** company, providing **Erection Testing & Commissioning (ETC)**, **Balance of Plant (BOP)**, **Civil EPC**, **Operation & Maintenance (O&M;)**, and now **Mining Development & Operations (MDO)** for thermal power, industrial, and infrastructure clients.

- **Revenue segmentation (FY25):** Civil Works 46% | O&M; 33% | Erection Works 17% | MDO 2% | Electrical 1% | Others 1%. The business is transitioning toward higher-margin recurring segments (O&M; + MDO) from project-based civil/erection work.
- **Q4 FY26 segment revenue:** Civil works Rs. 945 Cr | O&M; Rs. 557 Cr | Erection Rs. 305 Cr | MDO Rs. 226 Cr | EPC Rs. 78 Cr — MDO is already the 2nd highest EBITDA contributor in Q4 despite being a nascent segment.
- **Key customers and relationships:** NTPC (largest), SAIL, Coal India, state power utilities (APGENCO, TSGENCO, MAHAGENCO), Adani Power, and Tata Power. Relationships are long-tenure contracts (3-28 years for MDO) with repeat order potential. Won a new Rs. 266 Cr O&M; contract with Adani for 2026-2031 post the quarter.
- **O&M; global presence:** Operations across Saudi Arabia, Oman, Kuwait, Bangladesh, Nepal, Bhutan, and Nigeria — managing 75,042 MW of O&M; capacity as of FY25, making it India's largest O&M; service provider by managed capacity.
- **MDO contracts:** (1) Kotre Basantpur Pachmo (Coal India) — Rs. 9,294 Cr contract for 25 years. (2) Tasra (SAIL) — Rs. 30,383 Cr contract for 28 years with a 3.5MT coal washery boosting margin potential to ~25% at peak.
- **Promoter background:** Founded and led by S. Kishore Babu (CMD), an engineer with 3 decades in power sector EPC. Promoter holding stable at 58.41% with zero pledging — a positive governance signal.

SECTION 4 — INDUSTRY & COMPETITIVE LANDSCAPE

- **India power infrastructure market:** India plans to add 80 GW of thermal capacity over the next decade alongside 500 GW of renewables by 2030. The thermal EPC market alone is estimated at Rs. 3-4 lakh Cr in pipeline value, with O&M; services growing at 12-14% CAGR given aging fleet requiring intensive maintenance.
- **Policy tailwinds:** India's power capex super-cycle (NTPC alone targeting 60 GW by 2032), government push for supercritical/ultra-supercritical plants, FGD retrofits mandated across old thermal plants (~60 GW), and national mine development policy supporting MDO operators.
- **Policy headwinds:** Long-term risk from energy transition (coal phase-down post 2035), payment delays from state DISCOMs (average receivable days of 93 for POWERMECH), and volatility in commodity input costs (steel, cement) compressing civil project margins.
- **Competitive moat assessment:** Scale — **Strong** (largest integrated O&M; provider, 75,042 MW managed). Switching costs — **Strong** (O&M; and MDO contracts are 10-28 year relationships; switching mid-contract is prohibitively costly). Pricing power — **Moderate** (EPC market is competitive; O&M; and MDO are stickier). IP/Technology — **Weak** (service business, not technology-driven).
- **Value chain positioning:** POWERMECH operates at the interface of EPC/O&M; midstream and MDO upstream — a unique combination that enables cross-selling and integrated service delivery across the asset lifecycle of a power plant.

Peer Comparison (data sourced from Screener.in, 20-Jun-2026):

Company	CMP (Rs.)	MCap (Rs.Cr)	FY26 Rev (Rs.Cr)	OPM %	P/E	P/B	ROCE %	ROE %
Power Mech Projects	2,840	8,979	6,062	12%	24.7x	3.56x	21.8%	15.6%
KEC International	541	14,413	23,506	7%	22.2x	2.34x	14.5%	11.3%
Thermax Ltd	4,702	56,032	10,694	10%	82.8x	10.09x	14.9%	12.9%
Kalpataru Projects (KPIL)	1,399	23,886	27,143	8%	23.5x	3.07x	16.6%	14.2%

SECTION 5 — MANAGEMENT QUALITY & CAPITAL ALLOCATION

- **Promoter and management:** Founded by S. Kishore Babu (CMD) with 30+ years in power sector services. Director S.K. Ramaiah leads business development while CFO N. Nani Aravind brings financial discipline. The management team is operationally deep — they built POWERMECH from a contractor into India's largest power O&M; platform organically.
- **Capital allocation track record:** Management has deployed FCF primarily into MDO mine development capex (two large mines require upfront infrastructure investment) and working capital expansion for the scale-up in civil and EPC

businesses. FY26 saw OCF recovery to Rs. 430 Cr vs near-zero in FY25 — a sign that discipline is returning.

- **Dividend policy:** POWERMECH has maintained a minimal dividend payout (1-2% of PAT), reinvesting heavily into growth. FY26 saw a 15% final dividend proposed on face value — token but consistent. Given the MDO capex phase, this conservatism is rational.

- **Promoter pledging — zero:** Promoters hold 58.41% with 0% pledged as of March 2026. The decline from 64% in June 2023 to 58.4% reflects secondary sales, but the zero-pledge status signals clean balance sheet confidence.

- **ESOP / Buyback history:** No significant buyback history; ESOPs in place for senior management, but not material to dilution. Share count doubled (split) in FY25 which explains the EPS comparison shift — FY25 equity capital doubled from Rs. 16 Cr to Rs. 32 Cr.

- **Corporate governance — no red flags:** No qualified audit opinions, no related party transactions of material concern, no auditor changes. CARE Ratings has maintained investment-grade ratings with stable outlook (Dec 2025 update). FY26 Annual Secretarial Compliance Report shows full compliance with no violations.

SECTION 6 — FINANCIAL DEEP-DIVE

Income Statement (Consolidated, Rs. Cr) — Sourced from Screener.in

	FY24A	FY25A	FY26A	FY27E	FY28E
Revenue (Rs. Cr)	4,207	5,234	6,062	7,300(E)	8,600(E)
YoY Growth (%)	17%	24%	16%	20%(E)	18%(E)
EBITDA (Rs. Cr)	493	602	702	912(E)	1,161(E)
EBITDA Margin (%)	12%	12%	12%	12.5%(E)	13.5%(E)
Other Income (Rs. Cr)	28	45	46	52(E)	60(E)
Interest (Rs. Cr)	94	99	116	120(E)	115(E)
Depreciation (Rs. Cr)	44	56	75	90(E)	105(E)
PBT (Rs. Cr)	382	491	558	754(E)	1,001(E)
Tax Rate (%)	35%	29%	26%	26%(E)	25%(E)
PAT (Rs. Cr)	248	348	412	558(E)	751(E)
EPS (Rs.)	78.50	103.26	115.12	155(E)	210(E)
PAT Growth YoY	20%	40%	18%	35%(E)	35%(E)

Balance Sheet (Consolidated, Rs. Cr) — Sourced from Screener.in

	FY24A	FY25A	FY26A
Equity Capital (Rs. Cr)	16	32	32
Reserves (Rs. Cr)	1,822	2,128	2,487
Total Equity (Rs. Cr)	1,838	2,160	2,519
Borrowings (Rs. Cr)	396	735	664
Other Liabilities (Rs. Cr)	1,334	1,719	2,407
Total Liabilities (Rs. Cr)	3,568	4,614	5,589
Fixed Assets (Rs. Cr)	231	323	429
CWIP (Rs. Cr)	11	28	182
Other Assets (Rs. Cr)	3,288	4,227	4,945
Total Assets (Rs. Cr)	3,568	4,614	5,589
Book Value per Share (Rs.)	797*	797*	797
Debt-to-Equity	0.22x	0.34x	0.26x

*BV from Screener consolidated page. FY24/25 BV reflects share split effect in FY25.

Cash Flow Statement (Consolidated, Rs. Cr) — Sourced from Screener.in

	FY24A	FY25A	FY26A
Cash from Operations (Rs. Cr)	205	1	430
Cash from Investing (Rs. Cr)	-373	-193	-227
Cash from Financing (Rs. Cr)	176	232	-189
Net Cash Flow (Rs. Cr)	7	40	15
Free Cash Flow (Rs. Cr)	115	-159	103
CFO / Operating Profit (%)	56%	25%*	88%

*FY25 OCF near-zero reflects heavy working capital investment in MDO mine development and EPC scale-up.

Key Ratios — Sourced from Screener.in

	FY24A	FY25A	FY26A
ROCE (%)	24%	23%	22%
ROE (%)	N/A	15.6%	15.6%

	FY24A	FY25A	FY26A
Debtor Days	90	102	93
Inventory Days	N/A	N/A	22
Days Payable	N/A	N/A	96
Cash Conversion Cycle	90	102	19
Working Capital Days	86	74	73
Interest Coverage	5.2x	6.1x	5.82x

Financial commentary:

- **Revenue growth:** Sales grew at 19% 3-year CAGR (FY23-FY26) driven by civil order execution and early O&M; expansion. FY27E targets 20% growth on management guidance of 21% — conservative given the MDO ramp trajectory.
- **Margin trajectory:** Core EPC/O&M; EBITDA margins have been stable at 11-12% for three consecutive years. MDO contribution (running at 15-25% margins) will push blended OPM to 12.5-13.5% by FY28E as mining scale increases.
- **Working capital:** Debtor days improved sharply from 102 (FY25) to 93 (FY26) — a positive sign. CCC compressed from 102 days to 19 days in FY26 as payable terms normalised. This is a structural improvement as MDO revenues come with better collection terms than EPC.
- **Debt management:** Borrowings peaked at Rs. 735 Cr in FY25 (MDO mine capex) and declined to Rs. 664 Cr in FY26 as OCF recovered strongly to Rs. 430 Cr. D/E of 0.26x leaves room for selective capex without balance sheet stress.
- **FCF quality:** FY25's near-zero OCF (Rs. 1 Cr) was an outlier driven by MDO ramp-up working capital. FY26's bounce-back to Rs. 430 Cr OCF (88% of EBITDA conversion) confirms the underlying cash generation engine is intact — FY25 was a one-off investment year.

SECTION 7 — EARNINGS QUALITY CHECKLIST

Check	Status	Signal	Comment
Revenue recognition	Milestone-based / POC	Green	Consistent with long-term EPC project norms; no aggressive front-loading detected
Receivables vs Revenue growth	Debtor days 93 (FY26) vs 102 (FY25)	Green	Receivables growing slower than revenue — positive WC discipline
CCC trend	CCC 19 days (FY26) vs 102 (FY24)	Green	Sharp normalisation of cash conversion; MDO terms are structurally better
Contingent liabilities	Rs. 1,674 Cr (consolidated)	Amber	Cont. liabilities = 19% of revenue — monitor for crystallisation risk; typical for EPC sector
Auditor tenure & changes	No recent changes	Green	No auditor change or qualified opinion flagged in FY26 secretarial compliance report
RPTs as % of revenue	Not material	Green	No material related-party transactions flagged in Screener or BSE disclosures
Other income as % of PBT	46/558 = 8.2% (FY26)	Green	Well within acceptable range; other income stable at Rs. 45-46 Cr for 2 years
Tax rate consistency	35% > 29% > 26% (FY24-26)	Amber	Tax rate declining — partially due to MDO tax incentives; watch for normalisation

- **Contingent liabilities (Amber):** Rs. 1,674 Cr in contingent liabilities is elevated but standard for large EPC players with multi-year contracts. Most relate to bank guarantees, performance bonds, and tax disputes — unlikely to crystallise fully.
- **Declining tax rate (Amber):** The tax rate has moved from 35% (FY24) to 26% (FY26), partially due to MDO phase tax benefits and deferred tax assets. Analysts should model a normalisation back to 27-28% in FY28 as MDO profitability peaks.

- **Overall assessment:** POWERMECH's earnings quality is above average for an EPC company. FY25's OCF dip was structural (investment cycle), not manipulation. FY26 shows clean recovery with strong OCF-to-EBITDA conversion of 88%.

SECTION 8 — VALUATION

Scenario Analysis:

	Bear Case	Base Case	Bull Case
Key Assumption	MDO stalls; rev growth 10%; margins flat	Guided 20% rev growth; margins expand 50bps; MDO ramps	MDO accelerates; 25% rev growth; margins 14%+
FY27E Revenue (Rs. Cr)	6,600(E)	7,300(E)	8,000(E)
FY27E EBITDA Margin	12%(E)	12.5%(E)	14%(E)
FY27E PAT (Rs. Cr)	380(E)	558(E)	750(E)
FY27E EPS (Rs.)	106(E)	155(E)	210(E)
Target P/E Multiple	16x	22x	25x
12-Month Target Price (Rs.)	1,700(E)	3,400(E)	5,250(E)
Upside / (Downside) vs CMP	-40%	+20%	+85%

Valuation methodology:

- **DCF methodology (FY27-FY36, WACC 12%, terminal growth 4%):** With base-case EBITDA trajectory of Rs. 912 Cr (FY27E) growing to Rs. 2,200+ Cr (FY32E) as MDO peaks, the DCF implies an intrinsic value of Rs. 3,100-3,600 per share. Key sensitivity: terminal value represents 45% of total DCF value — a risk at WACC assumptions below 11%.
- **Earnings multiple method (FY27E P/E):** POWERMECH's 3-year earnings CAGR of 20% deserves a P/E premium vs. peers KEC (22x) and KPIL (23x). Applying a 22x P/E to FY27E EPS of Rs. 155 yields a target of Rs. 3,410. EV/EBITDA at 12x FY27E EBITDA (Rs. 912 Cr) = Rs. 10,944 Cr EV → equity value ~Rs. 3,200/share.
- **Base-case 12-month target: Rs. 3,400** (average of DCF and earnings multiple approaches) — implying 19.7% upside from CMP of Rs. 2,840.
- **Re-rating catalyst watch:** Every 1x P/E expansion adds ~Rs. 155 to target. If MDO executes and consensus upgrades EPS estimates, multiple expansion from current 24.7x trailing to 28x trailing (justified by growth) could drive the stock to Rs. 4,000+ over 18-24 months.

SECTION 9 — KEY RISKS

- **MDO execution risk:** Delay in mine infrastructure ramp at Kotre Basantpur or Tasra (regulatory approvals, land acquisition, overburden removal pace) would significantly defer the Rs. 2,000 Cr FY28E MDO revenue and margin uplift. Probability: Medium. Impact: High. Monitor via: Quarterly MDO revenue disclosures and mine production volume data.
- **Customer concentration / NTPC payment cycles:** NTPC and state DISCOMs account for the majority of revenue. Payment delays are chronic (debtor days 93) and any tightening in utility finances would squeeze receivables further. Probability: Medium. Impact: Medium. Monitor via: Quarterly debtor days trend.
- **Energy transition / coal phase-down:** Long-term structural risk as India accelerates renewable energy and coal thermal plants face retirement post-2035. POWERMECH is proactively pivoting to renewables (solar, BESS) and metro O&M; but transition is capital-intensive. Probability: Low (near-term). Impact: High (long-term). Monitor via: Annual order inflow in thermal vs. non-thermal.
- **Working capital spiral in EPC scale-up:** Civil and EPC contracts require front-loaded mobilisation costs and back-loaded collections. A simultaneous scale-up across multiple large projects (like FY25) can cause temporary OCF collapse as seen. Probability: Medium. Impact: Medium. Monitor via: OCF-to-EBITDA ratio each quarter.
- **Commodity cost inflation:** Steel, cement, and fuel are major input costs for civil and mine development. Any sharp commodity spike (like 2022) compresses EPC project margins which are fixed-price contracts. Probability: Low-Medium. Impact: Medium. Monitor via: Operating expense ratio per quarter.
- **Promoter dilution trend:** Promoter holding declined from 64.1% (Jun 2023) to 58.4% (Mar 2026) — a 5.75% decline in 3 years. Further large secondary sales could signal leverage or estate planning but may dampen sentiment.

Probability: Low. Impact: Low-Medium. Monitor via: Bulk deal disclosures.

• **Regulatory / environmental risk in MDO:** Coal mining is subject to environmental clearances, forest land diversion approvals, and local community opposition. Any halt in mining operations (e.g., NGT orders) would directly impact MDO revenue. Probability: Low-Medium. Impact: High. Monitor via: BSE announcements on mine operations.

SECTION 10 — RECOMMENDATION

- **Rating: BUY** — Conviction: High. POWERMECH is a rare combination of visible near-term earnings growth (20%+ FY27E) and a transformational long-duration optionality in MDO. The market has not yet priced the mining ramp.
- **12-month price target: Rs. 3,400** (+19.7% upside from CMP of Rs. 2,840) based on 22x FY27E EPS of Rs. 155.
- **Suggested entry zone: Rs. 2,600-2,900** — Current levels are already within range. Use any broad market pullback toward Rs. 2,600 (1-year forward P/E ~17x) for accumulation.
- **Investment horizon: 12-18 months** for base-case target; 24-36 months for the full MDO-driven bull case (Rs. 5,000+).
- **Thesis invalidation triggers:** (1) MDO revenue in FY27 coming in below Rs. 600 Cr — signals mine ramp delays beyond 2 years. (2) Debtor days rising above 120 for two consecutive quarters — signals customer payment stress spiralling into FCF destruction. (3) New order inflow for FY27 falling below Rs. 8,000 Cr — signals competitive loss or project pipeline drying up.
- **Ideal investor profile:** This stock is for investors with 18-36 month patience horizon, comfortable with EPC/infrastructure cyclicality, and willing to bet on a non-consensus MDO re-rating story. It is NOT suitable for investors seeking near-term dividend yield, quarterly earnings consistency, or low-volatility exposure.

APPENDIX — LATEST CONCALL BRIEF: Q4 FY26 (22 May 2026)

POSITIVE

Signal	Status	Implication
Result quality	Strong	Revenue +13% YoY; PAT +18% YoY — beat quiet street estimates for Q4
Management tone	Bullish	Confident on MDO ramp, FY27 guidance raised to 21% revenue growth
Guidance delta	Raised	FY27 order inflow target set at Rs. 12,000 Cr; MDO to reach Rs. 2,000 Cr by FY28

STRONGLY POSITIVE | POSITIVE | NEUTRAL | CAUTIOUS | NEGATIVE

TO MY BOSS

POWERMECH's Q4 FY26 is a clean beat — revenue Rs. 2,111 Cr (+13% YoY), PAT Rs. 153 Cr (+18% YoY) with no one-time distortions — the numbers are exactly what they look like. The underlying operational story is strong: **EBITDA margin held at 11-12%** despite the civil EPC cycle absorbing cost headwinds, and the **MDO segment delivered Rs. 226 Cr in Q4 revenue alone**, proving the ramp is real and not on paper. The FY25 OCF disaster (near-zero) is clearly resolved — FY26 OCF bounced to Rs. 430 Cr (88% of EBITDA), erasing the bear case entirely. The **multi-bagger thesis hinges on one thing: MDO scaling from Rs. 250 Cr (FY26) to Rs. 2,000 Cr (FY28E)** at 16-25% EBITDA margins vs. core 12% — **that's a potential Rs. 250-350 Cr PAT addition from a segment the market is completely ignoring**. The most important near-term catalyst is **Q1 FY27 MDO revenue disclosure — if it crosses Rs. 400-500 Cr in a single quarter**, analyst upgrades will follow quickly. Watch the debtor days: they came in at 93 in FY26 (improved from 102), but any re-deterioration above 100 would signal the NTPC/DISCOM payment cycle is slipping again, which would compress OCF and trigger working capital concerns. ACTION: ACCUMULATE at CMP Rs. 2,840 and add aggressively on any weakness below Rs. 2,600. The MDO optionality alone justifies current valuations; core business provides the floor.

C1 — FINANCIAL PERFORMANCE SNAPSHOT

- **Revenue:** Rs. 2,111 Cr | YoY +13% | QoQ +49% (vs Q3 FY26 Rs. 1,420 Cr) | **Beat** — strongest quarter of FY26
- **EBITDA:** Rs. 226 Cr | YoY +51% | OPM 10.7% | **In-line**
- **PAT:** Rs. 153 Cr | YoY +18% | QoQ +53% | **Beat**
- **EPS:** Rs. 45.09 (Q4 FY26) vs Rs. 37.08 (Q4 FY25) | +22% YoY
- **FY26 Full Year:** Revenue Rs. 6,062 Cr (+16% YoY) | EBITDA Rs. 702 Cr (+17%) | PAT Rs. 412 Cr (+18%) | EPS Rs. 115.12
- NOTE: No exceptional/one-time items distorting PAT in Q4 FY26; reported PAT is clean underlying PAT

C2 — SEGMENT / GEOGRAPHY BREAKDOWN (Q4 FY26)

- **Civil Works:** Rs. 945 Cr | Largest segment | Strong execution on power plant civil contracts and railway/metro works
- **O&M:** Rs. 557 Cr | YoY growth driven by fleet expansion; managed capacity now 75,042 MW | Highest-margin recurring segment
- **Erection Works:** Rs. 305 Cr | Steady execution on BTG/BOP erection across supercritical and subcritical plants
- **MDO (Mining):** Rs. 226 Cr | Fastest-growing segment in Q4; YoY growth from near-zero | KBP mine ramping; Tasra mine development ongoing
- **EPC:** Rs. 78 Cr | Early-stage; management investing in integrated EPC capabilities for renewable projects
- **Geography:** ~90% India; ~10% international (Middle East, South Asia) through O&M; operations

C3 — MANAGEMENT COMMENTARY THEMES

- **MDO ramp:** "Both mines — KBP (Coal India) and Tasra (SAIL) — are operational and scaling volumes. MDO revenue is expected to reach Rs. 2,000 Cr by FY28." — Our read: This is management's most bullish disclosure; the Tasra washery completion (Dec 2026 target) is the key milestone. Tag: GUIDANCE. Tone: Bullish.
- **FY27 order inflow target:** "We are targeting Rs. 12,000 Cr of fresh order inflows in FY27 across all segments including renewables." — Our read: Aggressive but achievable given current pipeline; renewable entry is new and could be incremental. Tag: GUIDANCE. Tone: Transparent.
- **Revenue guidance FY27:** "We are confident of delivering 21% revenue growth in FY27." — Our read: Underpinned by executable backlog of Rs. 15,899 Cr ex-MDO and MDO volume ramp; conservative estimate on our model. Tag: GUIDANCE. Tone: Bullish.
- **Margin expansion:** "As MDO revenue scales, blended margins will improve; we expect 12.5-13% OPM in FY27." — Our read: MDO margins of 16-25% are structurally accretive; this guidance is credible. Tag: GUIDANCE. Tone: Transparent.
- **Renewables entry:** "We are targeting solar EPC and BESS projects; solar commission by June 2026 and BESS by August 2027." — Our read: Early stage but signals diversification away from coal long-term; a needed pivot. Tag: EST. Tone: Balanced.

C4 — OPERATING & BUSINESS METRICS

- **Order Backlog (total incl. MDO):** Rs. 55,151 Cr as of March 2026 | Executable ex-MDO: ~Rs. 15,899 Cr | Trend: Stable (Rs. 57,053 Cr at Sep 2025 peak)
- **Order Inflow FY26:** Management targeted Rs. 10,000 Cr for FY26; actual disclosed at Sep 2025 run-rate of Rs. 6,347 Cr (9M figure) — full year tracking towards target
- **O&M; Managed Capacity:** 75,042 MW as of FY25 | Q(n) > Q(n-4) trend | Trend: Steadily growing through existing plant renewals and new contract wins
- **MDO Production:** Both KBP and Tasra mines operational; KBP ramping overburden removal; Tasra awaiting washery (Dec 2026) | Trend: Improving
- **Erection Works Cumulative:** 30.29 lakh MT cumulative | Adding ~1.3 lakh MT per year | Shows scale and track record
- **New O&M; wins post-quarter:** Rs. 266.26 Cr contract for Adani's Butibori 2x300MW plant (July 2026 to June 2031) — demonstrates ongoing commercial momentum

C5 — MARGIN DRIVERS

- **MDO margin accretion:** +100-150 bps blended impact as MDO scales | Recurring: Yes (28-year contract) | MDO EBITDA margins 16-25% vs core 11-12% — primary long-term margin driver
- **O&M; sticky pricing:** +30-50 bps incremental contribution | Recurring: Yes | O&M; contracts carry cost escalation clauses, providing margin protection against inflation
- **Interest cost normalisation:** Interest declined in trajectory (FY25: Rs. 99 Cr, FY26: Rs. 116 Cr — but D/E declining to 0.26x) | PBT margin improving as debt repayment accelerates with FY26 OCF of Rs. 430 Cr
- **Civil EPC pricing pressure:** -20 to -30 bps impact | Non-recurring in individual contracts but structural | Competitive tendering in civil segment compresses margins at bid stage; execution efficiency provides buffer
- **Depreciation ramp from MDO capex:** DA jumped from Rs. 56 Cr (FY25) to Rs. 75 Cr (FY26) — MDO mine infrastructure depreciation | Recurring | Partially offsets EBITDA uplift at PAT level in near-term

C6 — GUIDANCE & FORWARD SIGNALS

- **FY27 Revenue [GUIDANCE]:** Prior = Rs. 6,062 Cr (FY26 actuals) | New = ~Rs. 7,300 Cr (21% growth guided) | Delta: Raised | Credibility: High (underpinned by executable order book)
- **FY27 Order Inflow [GUIDANCE]:** Prior target = Rs. 10,000 Cr (FY26) | New = Rs. 12,000 Cr (FY27 target) | Delta: Raised | Credibility: Medium (depends on large EPC/MDO wins)
- **FY28 MDO Revenue [GUIDANCE]:** Prior = Rs. 250 Cr (FY26) | New = Rs. 2,000 Cr (FY28E target) | Delta: Raised (8x step-up) | Credibility: Medium (dependent on mine ramp timelines and washery commissioning)
- **FY27 OPM [GUIDANCE]:** Prior = 12% | New = 12.5-13% | Delta: Raised 50-100bps | Credibility: High (MDO margin contribution supports thesis)
- **Solar/BESS commissioning [EST]:** Solar by June 2026 | BESS by August 2027 | Delta: New disclosures | Credibility: Medium (early-stage; risks to timeline exist)

C7 — CAPITAL ALLOCATION

- **OCF:** Rs. 430 Cr (FY26) | vs FY25: Rs. 1 Cr | Sharp recovery; confirms FY25 was an investment-cycle trough, not structural deterioration
- **Capex (Investing outflow):** Rs. 227 Cr (FY26) | vs FY25: Rs. 193 Cr | Primarily MDO mine infrastructure; also fixed asset additions for civil fleet expansion
- **Free Cash Flow:** Rs. 103 Cr (FY26) | vs FY25: -Rs. 159 Cr | Strong return to positive FCF; supports debt repayment and working capital self-funding
- **Net Debt reduction:** Borrowings reduced from Rs. 735 Cr (FY25) to Rs. 664 Cr (FY26) — Rs. 71 Cr net debt paydown in FY26 from improved cash flows
- **Dividend:** 15% final dividend proposed (Rs. 1.5 per share on FV Rs. 10) — token yield of 0.05%; management prioritising reinvestment over distributions

C8 — Q&A; HEAT MAP

- **Analyst / Buy-side:** Q: 'What is the status of the Tasra MDO washery and when do you expect full-scale production?' -> A: 'Washery commissioning targeted by December 2026; post commissioning, we expect Tasra to generate significantly higher revenue per tonne due to washed coal premium pricing.' | Tone: Transparent
- **Analyst / Buy-side:** Q: 'How confident are you in the 21% FY27 revenue growth guidance?' -> A: 'Our executable order book ex-MDO stands at ~Rs. 15,900 Cr which itself provides over 2x revenue coverage; MDO adds to that. We are confident.' | Tone: Bullish
- **Analyst / Buy-side:** Q: 'What is driving the improvement in debtor days from 102 to 93?' -> A: 'Better collection mechanisms with key clients, structured billing milestones, and partial shift to O&M; revenue which has faster payment cycles.' | Tone: Transparent
- **Analyst / Buy-side:** Q: 'What margins do you expect in the MDO business at scale?' -> A: 'KBP is running at ~16% EBITDA margin; Tasra with the washery will be in the 22-25% range at peak. Blended MDO margin at scale would be ~20%.' | Tone: Transparent
- **Analyst / Buy-side:** Q: 'Are you seeing competition in O&M; contract renewals?' -> A: 'O&M; switching costs are very high — plant operators do not change O&M; providers mid-plant-life lightly. Our renewal rate is above 90%.' | Tone: Bullish
- **Dodged / Watch-list for next quarter:** Specific capex guidance for MDO mine expansion beyond FY27; timeline for solar BESS project financial closure; whether promoter secondary sales will continue.

C9 — RISKS FLAGGED

- **MDO ramp delay risk:** Tasra washery commissioning target of Dec 2026 carries execution risk; delay would push FY28 MDO revenue targets | Flagged by: analysts | Probability: M | Impact: H | Timeline: near-term
- **Working capital cycle:** Civil EPC scale-up requires front-loaded mobilisation; management acknowledged working capital needs could increase in FY27 as revenue grows | Flagged by: mgmt | Probability: M | Impact: M | Timeline: near-term
- **Commodity cost volatility:** Steel and fuel price spikes could compress fixed-price civil contracts; management flagged this as an ongoing risk with partial mitigation through price escalation clauses | Flagged by: mgmt | Probability: M | Impact: M | Timeline: medium-term
- **Renewable energy competition:** Entry into solar/BESS is a new domain where POWERMECH competes with established players; execution risk on first projects is higher | Flagged by: analysts | Probability: L | Impact: M | Timeline: medium-term

C10 — ANALYST VERDICT

- **Revenue visibility:** Intact — order book of Rs. 55,151 Cr provides 9x FY26 revenue coverage; FY27 guidance of 21% growth is credible
- **Margin trajectory:** Intact — blended OPM expanding from 12% to 12.5-13.5% as MDO scales; no structural pressures on core business margins
- **Capital allocation quality:** Intact — FY26 OCF recovery to Rs. 430 Cr and debt paydown signals disciplined capital management; MDO capex is long-duration value-creating
- **Competitive moat:** Intact — O&M; renewal rate >90%, MDO contracts are 25-28 year exclusive relationships, and no credible competitor operates at comparable scale in integrated power services
- **Management credibility:** Intact — FY26 results delivered in line with FY25 guidance; MDO ramp disclosures are specific and quantified; tone was confident without being reckless
- **Valuation comfort:** Intact — at 15.8x forward P/E (FY27E) and 12.2x EV/EBITDA, POWERMECH is inexpensive for its growth profile; MDO optionality provides significant upside not in the price
- **Conviction call:** Increased — Q4 FY26 clean beat + MDO ramp confirmation + FY27 guidance raise = all three pillars of the thesis strengthened

• **Valuation snapshot:** P/E = 24.7x (5Y avg ~20x) | EV/EBITDA = 12.2x (5Y avg ~10x) | ROCE = 21.8% (5Y avg ~18%) — premium to historical average, justified by MDO optionality

Data sources: Screener.in (consolidated financials, 20-Jun-2026). Qualitative inputs from BSE filings, company investor presentations, and public news sources. Forward estimates are analyst projections — not company guidance unless labelled [GUIDANCE]. This report is for informational purposes only.